Financing AI infra: Tighter credit and rising capex, but deal economics hold up

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AI infra development is a capex-intensive business, currently requiring $10-12Mn per IT MW for greenfield data center capex. Tighter supply chain markets and labor inflation have so far increased the required capex investment for data center development. Over the last few months, financing conditions for AI infra have worsened due to an increasing base rate and widening spreads (Exhibit 1). Spreads reflect investor concerns around return on capital employed. In our coverage so far, we have seen improving deal economics as the offset for increasing capex intensity (unlevered yield on cost remains at ~17% median, Exhibit 4). We provide a short primer on financing of the AI infra buildout.

Project financing markets have so far underwritten 70-90% of data center capex for AI infra developers, largely through 5-year high yield bonds at 6-8% coupon (Exhibit 5). Hyperscaler backstops and investment grade tenants remain the key lever to lower financing cost - HUT has accessed the investment grade market at 6.192% for a 16.5-year fully amortizing tenor. GPU financing is shorter (2-6 years), fully amortizing and priced off the end customer's credit, while customer prepayments of 45-55% of GPU capex reduce the funding need for cloud operators. Across our coverage, CIFR and CLSK have funded their contracted buildouts, while WULF (Justified), CORZ (AMD), RIOT (Rockdale and Corsicana) and IREN ($6Bn FY27 capex) are yet to close financing. We believe securing this financing at favourable terms is the next catalyst for the group.

FINANCING CONDITIONS - SPREADS WIDENING

Base rates: The US 10-year Treasury yield stood at ~4.9% on Nov 5. Markets now price ~84% probability of a 25bps Fed rate hike in December, vs ~74% a week earlier.

Credit spreads: US high yield spreads widened to 348bps on Nov 5, the widest since May 2025, with single-B spreads up 35bps to 367bps. AI-linked credit has repriced faster - 10-year hyperscaler spreads have widened ~50bps YTD vs ~20bps for non-AI industrials (Exhibit 1).

Data center debt: The highest-rated data center bonds now yield ~7% vs below 5% at the start of 2026. At least 18 data center financings across high yield bonds and leveraged loans now carry double-digit yields. GLXY's Helios notes (B+) fell to 89.25 cents on Nov 5, implying ~13% yield vs 9.875% coupon at issue in July.

Supply and lender appetite: AI infra accounted for $40Bn of high yield supply by Sep-26 vs $12Bn in CY25. Goldman expects hyperscaler debt issuance to rise to $420Bn in 2027 from ~$250Bn in 2026. Lenders are now stress-testing cash flows and reviewing tenant

termination rights, while Nebius dropped a planned high yield bond in October. Hence, we believe hyperscaler backstops are now necessary, but not sufficient, to secure project debt.

EXHIBIT 1: **AI-linked credit has repriced faster than the broader market**

Indicator	Latest	Comparison
US 10-year Treasury yield	~4.9% (Nov 5)	~84% probability of Dec-26 Fed hike
US high yield spread	348bps (Nov 5)	Widest since May 2025
Single-B spread	367bps	+35bps, highest since March 2026
Investment grade spread	93bps (Nov 5)	91bps prior session
10-year hyperscaler spreads	~+50bps YTD	~+20bps for non-AI industrials
Highest-rated data center bond yield	~7%	Below 5% at start of 2026
Data center HY bonds and loans at double-digit yield	18+	-
GLXY Helios notes (B+)	89.25 cents, ~13% yield	9.875% coupon at issue (Jul-26)

Source: Reuters, Reuters, Bloomberg, Trading Economics, Bernstein analysis

CAPEX PER IT MW - $10-12MN FOR DATA CENTER, $30-40MN FOR COMPUTE

AI infra developers are guiding for $10-12Mn per IT MW capex for greenfield data center buildouts (Exhibit 3). CORZ breaks down its $11-12Mn/ IT MW guidance into construction labor and on-site execution (~45%), owner furnished equipment such as transformers, switchgear, generators and liquid cooling systems (~40%) and soft costs including design engineering, permitting and utility interconnection (~15%), with tenant fit-out at a further $1-2Mn/ IT MW (Exhibit 2). Infra developers often engage EPC companies, locking in prices of long lead items in advance, ensuring visibility of budgeted deployments. For example, WULF has signed Fluor as EPC on a guaranteed maximum price basis for its Justified campus, with >80% of long lead equipment already procured and ~90% of engineering complete. Compute costs another $30-40Mn per IT MW based on chip

generation - IREN's GB300 deployment for Microsoft implies ~$29Mn/ IT MW ($5.8Bn GPU capex for 200 IT MW), while NVIDIA guides its content at ~$40Bn per GW for Vera Rubin vs ~$25Bn per GW for Grace Blackwell.

How is capex borne - multiple approaches: Developers are adopting multiple approaches to share the capex risk with tenants:

- **(i) Completely by developer:** The developer funds the entire data center buildout and recovers it through long term rentals - eg. WULF (Lake Mariner, Justified), CLSK (Sandersville) and CORZ (AMD contract).
- **(ii) Capex caps (CIFR):** The lease caps the developer's capex per IT MW, with the tenant responsible for overruns above the cap. CIFR's AWS lease at Black Pearl caps capex at $9.5Mn/ IT MW, with Amazon reimbursing costs above the allowance. At Barber Lake, CIFR absorbs the first $359.3Mn of cost overruns, while the tenant reimburses 50% of any further overrun through additional rent.
- **(iii) Capex sharing (CORZ, RIOT):** The tenant funds part of the buildout. At CORZ's CoreWeave sites, CoreWeave funds construction cost and recovers up to $1.5Mn/ IT MW through rent credits, capped at 50% of monthly fees. At Corsicana, RIOT funds $2Mn/ IT MW for land, power infrastructure and power pads, and reimburses the tenant $4Mn/ IT MW in phases after rent commencement - the tenant installs, owns and operates the modular compute.

Irrespective of who is responsible for the capex, overall budget is $40-50Mn per IT MW including compute.

Deal economics offset higher capex: Data center capex guidance has moved up from $8-11Mn/ IT MW at our initiation in June to $10-12Mn/ IT MW for recent deals. However, improving deal terms (triple net leases, direct hyperscaler tenants and higher rent per MW) have kept returns intact. Unlevered yield on cost across recent deals in our coverage ranges 13-18% with a median of ~17%. RIOT's Corsicana is the outlier at 33%, as the powered land structure halves capex to $6Mn/ IT MW (Exhibit 4).

EXHIBIT 2: **CORZ - Breakdown of $11-12Mn/ IT MW data center capex**

Cost bucket	Share	Key items
Construction labor and on-site execution	~45%	Electrical and mechanical technicians, equipment operators, pipefitters, supervisors
Owner furnished equipment (OFE)	~40%	Transformers, switchgear, generators, chillers, pumps, liquid cooling, control systems

Cost bucket	Share	Key items
Soft costs	~15%	Design engineering, permitting, utility interconnection, insurance, temporary power, contingency
Tenant fit-out (excluded above)	$1-2Mn/ IT MW	-

Source: CORZ Q2 2026 presentation, Bernstein analysis

EXHIBIT 3: **Capex per IT MW across our coverage**

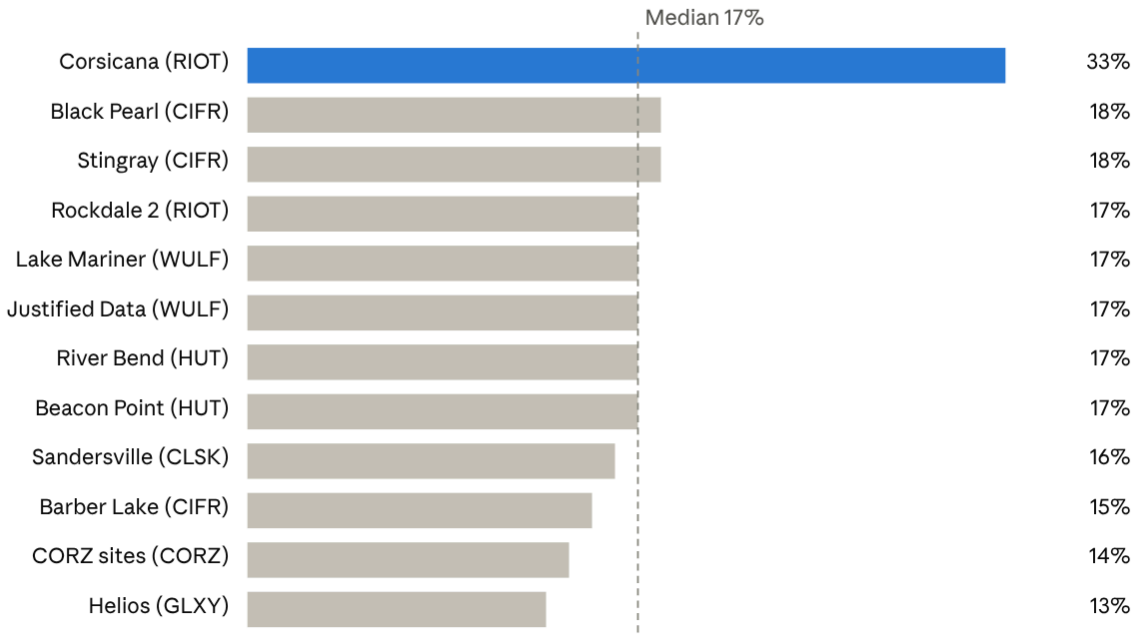
Company - site	Capex per IT MW	Capex borne by
WULF - Lake Mariner	~$8.9Mn	Developer
WULF - Justified	$10-12Mn	Developer
CIFR - Barber Lake	$9-11Mn	Developer, overruns shared above threshold
CIFR - Black Pearl	$9.5Mn cap	Developer up to cap, tenant above
CLSK - Sandersville	$10-12Mn	Developer
CORZ - AMD contract	$11-12Mn	Developer
CORZ - CoreWeave sites	Up to $1.5Mn recovered by tenant	Tenant funded, recovered via rent credits
RIOT - Rockdale (AMD, 50 IT MW)	~$3.5Mn	Developer (brownfield)
RIOT - Rockdale (191 IT MW)	$11-12Mn	Developer
RIOT - Corsicana	$6Mn, of which RIOT $2Mn	Shared, tenant owns modular compute
IREN - Microsoft (GPU only)	~$29Mn	Developer, 96% via GPU debt and prepayment

Source: Company filings and presentations, WULF Q3 2026 call, RIOT Q3 2026 presentation, Bernstein (RIOT Q3, 5 Nov 2026), Bernstein analysis

EXHIBIT 4: **Unlevered yield on cost across recent AI infra deals**

Unlevered yield on cost: ~17% across deals, 33% at RIOT Corsicana

Median across 12 deals: 17%. Powered land structure halves capex at Corsicana



Bernstein (RIOT Q3, 5 Nov 2026), Exhibit 4 · 12 recent AI infra deals

Source: Company filings, Bernstein (RIOT Q3, 5 Nov 2026), Bernstein analysis

HOW IS IT FINANCED - 70-90% DEBT, REMAINING EQUITY

Typically 70-90% of the capex is financed using debt, with equity contributions for the remaining. WULF contributed ~30% equity for Lake Mariner, while RIOT is targeting project debt at 80-90% loan-to-cost across Rockdale and Corsicana ($6.1-7Bn debt against $7.6-7.8Bn project capex). Funding mix by instrument:

(i) Project debt: Secured by project assets and cashflows, and issued by a ring-fenced subsidiary with a parent completion guarantee and a pre-funded debt service reserve. Largely high yield bonds for 5 years at 6-8% coupon (Exhibit 5), but we have also seen investment grade bonds with longer maturity. HUT issued $3.25Bn at 6.192% for River Bend (BBB-), with a 16.5-year tenor matched to its 15-year lease, and a further $4.25Bn for Beacon Point at T+165bps (Baa2), 20bps inside River Bend. Key features:

- **Amortization as phases become operational:** Principal repayment starts only after construction completion or rent commencement. CORZ's notes amortize at 11.50% per annum, CIFR's Black Pearl notes at 7.00% per annum after all construction phases complete, while CLSK's notes amortize to a target debt service coverage ratio.
- **Bullet repayment (refinancing):** Partial amortization leaves most of the principal due at year 5, vs 10-20 year lease terms. Hence, high yield project debt carries refinancing risk at maturity. HUT's fully amortizing investment grade structure removes this risk.

(ii) Convertibles and ATM for equity: Developers fund the equity contribution at the parent level through convertible notes (largely zero coupon, bullet maturity) and ATM programs (Exhibit 6). IREN has $6.7Bn of convertibles outstanding and has upsized its ATM program to $6Bn. WULF raised $900Mn of common equity in April to fund Justified. RIOT has funded its equity contribution through Bitcoin sales ($1.5Bn YTD), with no equity raised in 2026.

(iii) Interim financing: Banks fund the gap between lease signing and long term project debt. CORZ repaid its $1Bn Morgan Stanley bridge from its May notes. RIOT has a $573Mn Morgan Stanley interim facility for Rockdale and is closing a $180Mn delayed draw term loan at SOFR+2.5% for its AMD contract.

EXHIBIT 5: **Project level senior secured notes issued by AI infra developers**

Issuer (parent)	Site	Size	Coupon	Maturity	Amortization	Rating
WULF Compute (WULF)	Lake Mariner	$3.2Bn	7.750%	2030	-	High yield
Cipher Compute (CIFR)	Barber Lake	$1.73Bn	7.125%	Nov-30	Scheduled + 50% excess cash flow offer	High yield
Black Pearl Compute (CIFR)	Black Pearl	$2.0Bn	6.125%	Feb-31	7.00% p.a. post completion	High yield
Stingray Compute (CIFR)	Stingray	$810Mn	6.000%	2031	-	High yield
Core Scientific Finance I (CORZ)	CoreWeave sites	$3.3Bn	7.750%	May-31	11.50% p.a.	High yield
CSDC Finance I (CLSK)	Sandersville	$2.28Bn	7.875%	Oct-31	Sculpted to target DSCR	High yield
Hut 8 DC (HUT)	River Bend	$3.25Bn	6.192%	Nov-42	Fully amortizing from May-28	Investment grade (BBB-)
HUT	Beacon Point	$4.25Bn	T+165bps	-	Fully amortizing	Investment grade (Baa2)

Source: WULF, CIFR - Barber Lake, CIFR - Black Pearl, CIFR - Stingray, CORZ, CLSK, HUT - River Bend, HUT - Beacon Point, Bernstein analysis

EXHIBIT 6: **Convertible notes issued by AI infra developers**

Issuer	Size	Coupon	Maturity	Stated use
IREN	$6.7Bn across six series	0.00-3.50%	2029-33	Corporate, cloud buildout

Issuer	Size	Coupon	Maturity	Stated use
CLSK	$1.15Bn	0.00%	2032	~$460Mn buyback, land and power, data center development
WULF	$1.025Bn	0.00%	2032	Abernathy JV equity, parent liquidity
CIFR	$850Mn	0.00%	2032	Equity contribution into Barber Lake

Source: WULF, CLSK, CIFR, Bernstein (IREN Q1FY27, 6 Nov 2026), Bernstein analysis

HOW IS CLOUD FINANCED - DDTL AND SECURED GPU FINANCING

Cloud operators finance GPUs at the asset level, through special purpose vehicles that own the GPUs and the customer contract. Unlike data center debt, GPU financing is shorter (2-6 years), drawn in stages as GPUs are delivered and accepted, and fully amortizing over the customer contract. Pricing is driven by the credit of the end customer rather than the GPU collateral - CRWV's DDTL spreads range from SOFR+2.25% for an investment grade customer to SOFR+5.50% for shorter dated contracts (Exhibit 7).

(i) Delayed draw term loans (DDTL): Banks commit the facility upfront, drawn in tranches against GPU delivery, with an undrawn fee on the remaining commitment (0.50% p.a. for CRWV, 0.40% for IREN). CRWV's DDTL 4.0 ($8.5Bn, rated A3/A(low)) for a single investment grade customer is priced at SOFR+2.25% (fixed tranche at ~5.9%), with a minimum 1.15x DSCR covenant and the parent guaranteeing only for specified 'bad acts'. For non-investment grade customers, spreads widen to SOFR+4.50% for DDTL 5.0 ($3.1Bn), with an unconditional parent guarantee. CRWV's DDTL 5.5 ($2.6Bn) is priced at SOFR+5.50% - its ~5-year maturity extends beyond the ~3-year average length of the underlying customer contracts, hence lenders are underwriting GPU renewal risk. IREN's DDTL for its Microsoft contract is priced at SOFR+2.25%, in line with CRWV's investment grade facility.

(ii) Secured notes: Fixed rate notes sit alongside the DDTL under a common security package. IREN's $3.6Bn Microsoft financing combines a ~$1.5Bn DDTL with $2.1Bn of 5.96% senior secured notes, under a common terms agreement, both maturing Dec-31 and rated A by Fitch. Key credit features:

- **Ring-fenced collateral:** GPUs are owned by the financing subsidiary (IE US Hardware 3) and may be used only to settle its obligations, alongside a pledge of the subsidiary's equity and the Microsoft contract cash flows. The DDTL is carried as non-recourse debt.
- **Limited parent support:** IREN's guarantees are limited to performance of managed services and payment shortfalls from tranches not accepted by Microsoft.

- **Termination protection:** If Microsoft terminates a tranche, debt attributable to that tranche is prepaid, net of proceeds from the sale of the associated GPUs.
- **Amortization:** The facility amortizes in full over the five-year contract, with IREN's interest rate swaps amortizing in line with scheduled principal.

(iii) Non-investment grade GPU financing: IREN has raised $2.4Bn at 9% fixed for its Mackenzie expansion, covering ~90% of GPU capex with maturity ~30 months from draw. IREN has also used GPU lease financing covering 100% of purchase price over 24-36 month terms, at a 9.9% weighted average discount rate. We estimate the accelerated repayment implies DSCR of ~0.7x in 2027-28E for Mackenzie, hence customer prepayments of 20-30% of GPU capex are required to bring DSCR above 1x.

(iv) Customer prepayments: Customers prepay part of the contract value before GPU delivery, reducing the external funding need and acting as low-cost financing for the cloud operator. Key features:

- **Share of GPU capex:** Microsoft prepays 20% of contract value for each tranche ($1.9Bn, ~33% of GPU capex), while GPU debt covers another ~63% - together funding 96% of the $5.8Bn GPU capex. IREN's recent contracts carry prepayments of 45-55% of GPU capex, rising to 90% on its latest five-year contract (~$22Mn/ IT MW). At Mackenzie, GPU financing (~90% loan-to-cost) and customer prepayments together fund more than 100% of GPU capex, supporting other data center capex.
- **Repaid through service credits:** Prepayments are not repaid in cash, but credited against service fees - after the 24th month for Microsoft. We expect ~$650Mn per year of Microsoft prepayment credits over years 3-5 of the contract.
- **Lower blended cost of capital:** Including the Microsoft prepayment, IREN's management puts the average interest cost of the Microsoft deployment at ~3%, vs ~6% for the GPU debt alone.
- **Debt capacity preserved:** Prepayments are not secured by the GPUs or data center assets, hence cloud operators can still raise GPU-backed debt against the same fleet. We estimate customer prepayments of 20-30% of GPU capex are required to bring Mackenzie's DSCR above 1x.

EXHIBIT 7: **GPU financing facilities - pricing tracks end customer credit**

Borrower - facility	Size	Pricing	Maturity	End customer	Parent recourse
CRWV - DDTL 4.0	$8.5Bn	SOFR+2.25% / ~5.9% fixed	Mar-32	Single investment grade customer (A3/A(low))	Limited, specified 'bad acts'
IREN - Microsoft DDTL	~$1.5Bn	SOFR+2.25%	Dec-31	Microsoft (Fitch A)	Limited, performance shortfalls

Borrower - facility	Size	Pricing	Maturity	End customer	Parent recourse
IREN - Microsoft senior notes	$2.1Bn	5.96% fixed	Dec-31	Microsoft (Fitch A)	Limited, performance shortfalls
CRWV - DDTL 3.0	$2.6Bn	SOFR+4.00%	Aug-30	OpenAI	Parent guarantee
CRWV - DDTL 5.0	$3.1Bn	SOFR+4.50%	Nov-31	Two non-investment grade customers	Unconditional parent guarantee
CRWV - DDTL 5.5	$2.6Bn	SOFR+5.50%	Sep-31	~3-year average customer contracts	Unconditional parent guarantee
IREN - Mackenzie financing	$2.4Bn	9.00% fixed	May-29	Non-investment grade	-
IREN - GPU leases	$244Mn outstanding	9.9%	24-36 months	-	-

Source: CRWV DDTL 3.0, DDTL 4.0, DDTL 5.0, DDTL 5.5, IREN FY26 10-K, Bernstein (IREN Q1FY27, 6 Nov 2026), Bernstein analysis

(v) Investment grade vs non-investment grade financing cost: GPU debt backed by an investment grade customer costs ~300-400bps less than non-investment grade GPU debt (Exhibit 8). The cleanest comparison is the same issuer - CRWV pays SOFR+4.50% on DDTL 5.0 (two non-investment grade customers) vs SOFR+2.25% on DDTL 4.0 (single investment grade customer), a 225bps difference, with a further 100bps for shorter dated contracts on DDTL 5.5 (SOFR+5.50%). On a fixed rate basis, investment grade backed GPU debt prices at ~5.9-6.0% (CRWV DDTL 4.0 fixed tranche, IREN's Microsoft notes at 5.96%), vs 9.0% for IREN's Mackenzie financing and 9.9% for its GPU leases. Beyond pricing, investment grade backing also brings:

- **Longer tenor:** ~5-6 years matched to the customer contract, vs ~2.5-3 years for IREN's non-investment grade facilities and leases. A shorter tenor accelerates principal repayment - we estimate DSCR averages ~1.4x for IREN's Microsoft contract vs ~0.7x in 2027-28E for Mackenzie, without customer prepayments.
- **Limited parent recourse:** Investment grade facilities are largely non-recourse to the parent (CRWV DDTL 4.0 limited to specified 'bad acts', IREN limited to performance shortfalls), while CRWV's non-investment grade facilities carry an unconditional parent guarantee.

EXHIBIT 8: **GPU financing - investment grade vs non-investment grade end customer**

Term	Investment grade customer	Non-investment grade customer
Floating spread (CRWV DDTL)	SOFR+2.25% (DDTL 4.0)	SOFR+4.50% (DDTL 5.0) to SOFR+5.50% (DDTL 5.5)
Fixed rate	~5.9% (CRWV DDTL 4.0), 5.96% (IREN Microsoft notes)	9.0% (IREN Mackenzie), 9.9% (IREN GPU leases)
Tenor	~5-6 years	~2.5-5.5 years
Parent recourse	Limited ('bad acts', performance shortfalls)	Unconditional parent guarantee (CRWV)
Customer prepayment	~33% of GPU capex (Microsoft); debt plus prepayment fund 96% of GPU capex	45-55% of GPU capex on recent IREN contracts; debt plus prepayment fund >100% at Mackenzie
Debt service coverage	~1.4x average (IREN Microsoft)	~0.7x in 2027-28E without prepayments (IREN Mackenzie)

Source: CRWV DDTL 4.0, DDTL 5.0, DDTL 5.5, IREN FY26 10-K, Bernstein (IREN Q1FY27, 6 Nov 2026), Bernstein estimates and analysis

ENHANCING CREDIT TERMS - BACKSTOPS, CONVERTIBLES AND PREFERENCE EQUITY

Lenders underwrite the credit of the rent payer rather than the developer. Hence, developers with neocloud or unrated AI lab tenants use credit enhancement to bring project debt closer to investment grade terms (Exhibit 9-Exhibit 10):

(i) Backstops: A hyperscaler or chipmaker backstops the tenant's lease obligations, hence lenders underwrite the credit of the backstop provider rather than the tenant (Exhibit 9). Early deals were anchored by neocloud tenants with equity wrappers (Google backstopping Fluidstack at WULF and CIFR in exchange for warrants), while more recent backstops come without upfront equity. Key terms that strengthen the credit:

- **Trigger on default or insolvency:** The backstop is triggered by a tenant payment default or insolvency, following notice from the developer. At CIFR's Barber Lake, it applies only if the developer and Google have not agreed on a replacement tenant within a specified period.
- **Lease assumption:** Google pays all rent then due and assumes the lease as tenant, preserving the contracted cash flows for project lenders. For WULF's Justified campus, Google is reported to be generally required to assume the lease rather than

terminate during the first six years.

- **Termination payment (debt repayment):** Alternatively, under certain circumstances, the backstop provider pays a termination fee. At Justified, management describes it as a debt-reducing termination payment, and the 8-K states that the fee amortizes over a defined term - tracking the declining debt balance. At CIFR's Barber Lake, Google receives an equity interest in the project subsidiary on payment of the termination fee, and may defer its election for a specified period while paying all unpaid rent.
- **Full rent and pass-through coverage:** At HUT's River Bend, Google's backstop covers lease payments and pass-through obligations for the 15-year base term, with an additional Google backstop of payments under the operations services agreement.
- **Warrant pledge to construction lenders:** The backstop becomes effective only at lease commencement. Until then, Google pledges its WULF and CIFR warrants to the construction lenders, covering the construction period. CIFR's warrants also carry a top-up to a minimum value of $435Mn.
- **Fall-away on investment grade:** WULF's Justified backstop becomes effective at commencement of the final data hall, and terminates once Anthropic (or a guaranteeing affiliate) achieves and maintains investment grade ratings for a specified period.

Chipmaker credit support is structurally weaker. At CORZ's Auburn and Dalton sites, AMD has the right, but not the obligation, to cure the neocloud's defaults, with rights and obligations defined for certain material defaults. The agreements terminate on lease expiry, under certain neocloud insolvency or default circumstances, or after 15 years. Management describes it as full credit support for the 15-year term, with no equity step-in rights. We believe lease assumption combined with a debt-sized termination payment is the strongest protection for project lenders, while cure rights without a payment obligation offer weaker protection.

How investment grade backstops lower data center financing cost: Tenant credit is the key driver of project bond pricing (Exhibit 10). Projects with direct hyperscaler tenants or full-term investment grade backstops have priced at 6.0-6.75%, vs 7.1-7.75% for Google-backstopped neocloud leases and 7.75-9.9% for neocloud tenants without a backstop - eg. GLXY's Helios notes, leased to CoreWeave, priced at 9.875%. On a $3Bn project bond, a ~150bps lower coupon saves ~$45Mn of annual interest. Beyond the coupon, a full-term investment grade backstop unlocks the investment grade bond market itself:

- **Longer tenor, no refinancing:** HUT's Google-backed River Bend notes (BBB-) carry a 16.5-year tenor matched to the 15-year lease and fully amortize, vs 5-year high yield bonds with a bullet maturity.

- **Higher leverage:** River Bend's financing was structured at 85% loan-to-cost, vs ~70% at WULF's Lake Mariner.
- **Thinner coverage:** Fitch's forecast minimum DSCR for River Bend is 1.31x (average 1.32x) over the lease term.
- **Partial backstops stay high yield:** Google's backstops at WULF and CIFR cover a capped amount of Fluidstack's obligations ($1.73-3.2Bn) and, at WULF, early termination protection for the first six years rather than the full lease term. Hence, we believe those projects priced in the high yield market (7.1-7.75%) despite Google's support. CLSK's Sandersville notes (7.875%, Sep-26) are the exception, priced as high yield despite a high investment grade tenant.

(ii) Convertibles: Convertible proceeds raised at the parent level are contributed as equity into the project, sitting below the secured notes. This lowers loan-to-cost for project lenders without a cash coupon at the parent level - eg. CIFR funded its additional equity contribution for the Barber Lake lease extension through $850Mn of 0% convertible notes.

(iii) Preference equity: Asset level preferred equity sits between project debt and common equity, reducing the developer's own equity contribution. APLD has a perpetual preferred facility of up to $5Bn with Macquarie Asset Management, drawn at the campus level. Within our coverage, developers have so far relied on convertibles and common equity for this layer.

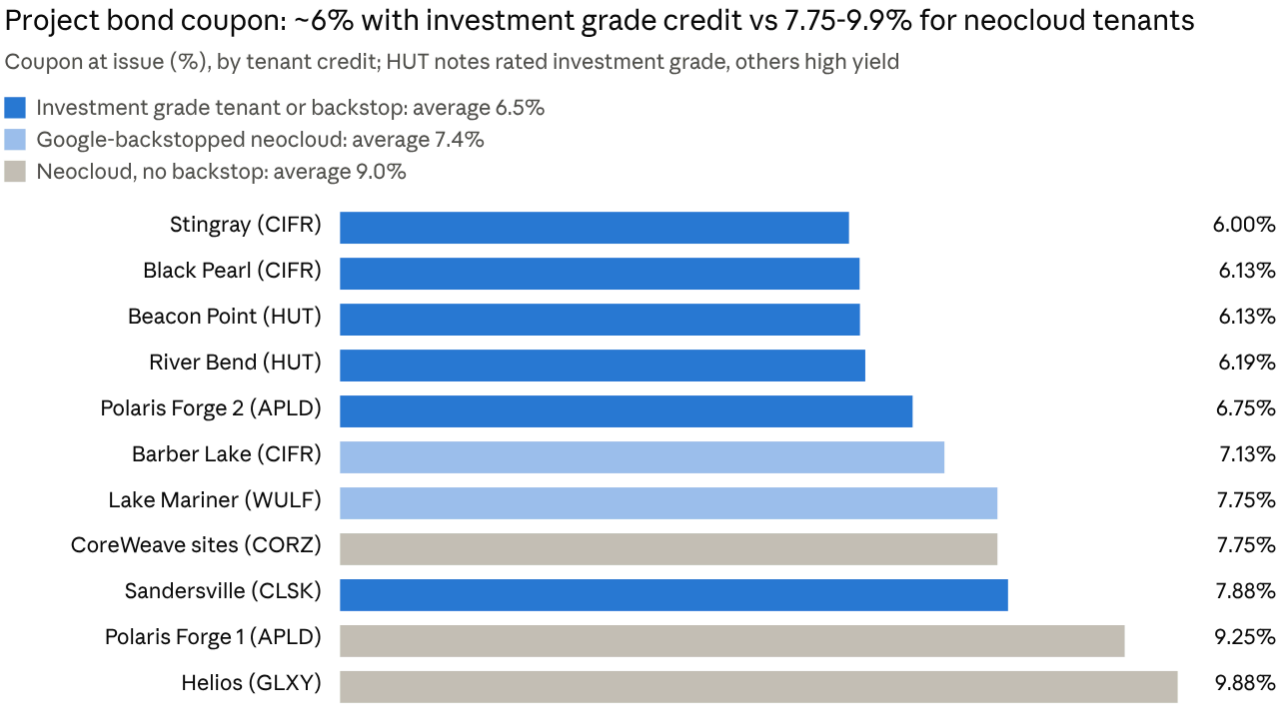
EXHIBIT 9: **Key backstop terms across AI infra deals**

Deal	Credit support	Effective from	Tenant default remedy	Other protections	Consideration
CIFR - Black Pearl (AWS)	Amazon.com parent guaranty	-	Direct guarantee of tenant obligations	Capex cap at $9.5Mn/ IT MW	-
WULF - Lake Mariner (Fluidstack)	Google, $3.2Bn of lease obligations	Lease commencement	Pay termination fee, or pay rent due and assume lease	Warrants pledged to construction lenders	Warrants for ~73.6Mn shares at $0.01

Deal	Credit support	Effective from	Tenant default remedy	Other protections	Consideration
CIFR - Barber Lake (Fluidstack)	Google, $1.73Bn of lease obligations	Lease commencement	Pay rent due and assume lease, or termination fee for equity in project subsidiary; deferral with rent paid	Replacement tenant period; warrants pledged to lenders; $435Mn value top-up	Warrants for ~24.2Mn shares at $0.01
HUT - River Bend (Fluidstack)	Google	15-year base term	Covers lease payments and pass-through obligations	Additional backstop of operations services payments	-
WULF - Justified (Anthropic)	Google, three credit support agreements	Final data hall commencement	Pay rent due and assume lease, or termination fee amortizing over a defined term	Falls away on Anthropic investment grade rating	No upfront equity; cost borne by tenant
CORZ - Auburn, Dalton (neocloud)	AMD credit support agreements	Lease term, up to 15 years	Right, not obligation, to cure neocloud defaults	No equity step-in rights; AMD equipment protections	AMD warrant for up to 30Mn shares at $23.47
RIOT - Rockdale (191 IT MW)	Investment grade backstop, being finalized	-	-	$573Mn interim facility meanwhile	-

Source: WULF 8-K (Aug-25), WULF 8-K (Aug-25), WULF 8-K (Nov-26), CIFR 8-K (Sep-25), CIFR 8-K (Nov-25), CORZ 8-K (Jul-26), HUT, CIFR - Black Pearl, Bernstein analysis

EXHIBIT 10: **Data center project bond coupon by tenant credit**



Company filings; Bernstein (Emerging AI Infra initiation, 3 Jun 2026) for APLD · 11 project bonds

Source: Company filings, Reuters, HUT - Beacon Point, Bernstein (Emerging AI Infra initiation, 3 Jun 2026), Bernstein analysis

PLAYER-WISE STATUS - CIFR AND CLSK FUNDED; WULF, CORZ, RIOT AND IREN TO CLOSE FINANCING

CIFR - Contracted buildouts fully funded: CIFR has raised project notes across all three contracted campuses ($4.5Bn at 6.0-7.125%), at the lowest coupons in our coverage, and funded its Barber Lake equity contribution through $850Mn of 0% convertibles.

CLSK - Sandersville funded: CLSK closed $2.28Bn of 7.875% project notes in September for its 175 IT MW Sandersville lease, ahead of the recent spread widening. The next financing will follow a lease at its Texas portfolio (up to 885 MW).

WULF - Justified financing next: Lake Mariner is funded through $3.2Bn of 7.75% notes, with project cost tracking at ~$8.9Mn/ IT MW. For Justified (401 IT MW, ~$19Bn lease), WULF has contributed ~$550Mn of equity and expects to fund the remaining capex through project level debt, now supported by Google's credit backstop and a Fluor EPC contract on a guaranteed maximum price basis.

CORZ - AMD project bond pending: The CoreWeave sites are funded through $3.3Bn of 7.75% notes. The ~$6Bn project bond for the 530 IT MW AMD contract is not secured yet, with management describing lender diligence as more comprehensive. First AMD delivery at Pecos is due in 1H27.

RIOT - $6.1-7Bn project debt to raise: RIOT has contracted 1.15 IT GW for ~$38Bn total revenue but is yet to close project level debt. RIOT has $573Mn of interim financing from Morgan Stanley for Rockdale. For Corsicana, if financing is unavailable at market terms, the tenant funds $3.6Bn through revenue prepayments, recovered from lease rentals at an implied 12% interest rate. RIOT's $0.8-1.5Bn equity contribution is covered by its ~$1Bn liquidity.

IREN - $6Bn of FY27 capex to fund: IREN has guided for $15Bn capex over the next three quarters, of which $9Bn is covered by cash ($5.8Bn) and undrawn committed financing ($3.2Bn). IREN is targeting the remaining $6Bn through GPU financing, prepayments and data center financing against its $6Bn of unencumbered data center assets. IREN has cut its FY27 capex guidance to $20Bn from $25-30Bn, adjusting the pace of buildout to the funding environment.

EXHIBIT 11: **Financing status across our coverage**

Company	Contracted	Debt in place	Yet to close	Liquidity
CIFR	Black Pearl, Barber Lake, Stingray	$4.5Bn project notes, $850Mn convertibles	None on contracted sites	$656Mn cash, ~$2.2Bn restricted
CLSK	Sandersville, 175 IT MW	$2.28Bn project notes, $1.15Bn convertibles	None on Sandersville	-
WULF	Lake Mariner; Justified, 401 IT MW	$3.2Bn project notes, $400Mn revolver	Justified project debt	~$2.4Bn cash and restricted cash
CORZ	1.1 IT GW (CoreWeave, AMD)	$3.3Bn project notes	~$6Bn AMD project bond	$804Mn cash, $1.74Bn incl. DSRA
RIOT	1.15 IT GW (AMD, Rockdale, Corsicana)	$573Mn interim facility	$6.1-7Bn project debt	~$1Bn cash and Bitcoin
IREN	AI cloud, $4Bn ARR by early 2027E	$10Bn ($6.7Bn convertibles, $3.3Bn GPU debt)	$6Bn of FY27 capex	$5.8Bn cash

Source: Company filings, CIFR, WULF, CORZ, RIOT, Bernstein (RIOT Q3, 5 Nov 2026), Bernstein (IREN Q1FY27, 6 Nov 2026), Bernstein analysis